

Vesting Schedule

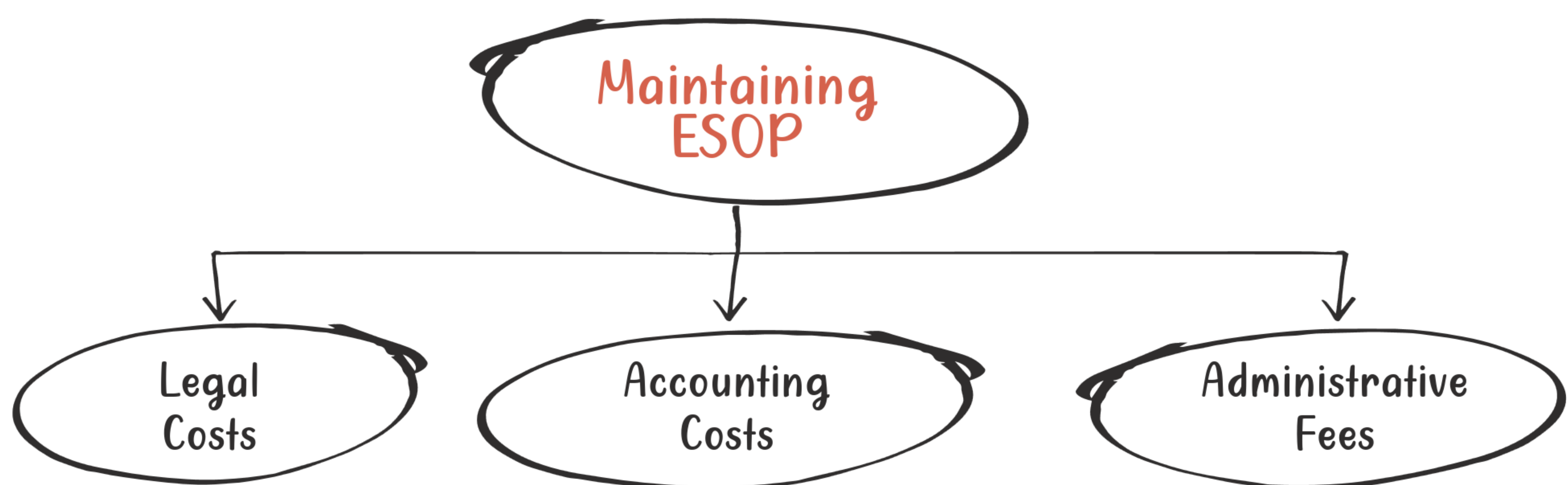
A vesting schedule specifies the timeline and conditions for employees to get ownership of their allocated stock options over a specified period.

When are they coming in? Employees joining at the early stages of the startup get rewarded with a higher allocation.

Another method you can use is to allocate a percentage of employees' fixed salary amounts in the form of stock options, offering them at an advantageous strike price (the predetermined price at which employees can purchase shares in the future).

5 ESOP Initial Costs and Distributions

Maintaining an ESOP involves various costs, such as legal, accounting, and administrative fees. These costs depend on factors such as the size and complexity of the plan.



In India, ESOP distribution typically follows multiple methods. Once employees are fully vested, they may have the option to sell their shares, subject to liquidity availability and company policies, or hold them for potential appreciation. If they choose to sell, the proceeds are subject to applicable taxes, including capital gains tax.

Alternatively, by retaining the shares, employees become partial owners of the company and may benefit from dividends (if declared) and potential capital appreciation over time. However, liquidity constraints and company-imposed restrictions, such as lock-in periods or buyback policies, may impact their ability to sell the shares.

